

YETI Holdings

NYSE : YETI · \$3.6B mkt cap · 76M sh · \$114M cash, zero debt · ~\$114M net cash; ~76M shares; \$500M buyback authorization (no dividend); Revenue Mature- \$1.87B FY25 (+2% trough; Q1'26 +8%); ~14% adj op margin (tariff-compressed), ~\$212M FCF; Stanley/Owala/dupe pressure in US Company DCF drinkware; China <5% of COGS post de-risking

\$48.00

THE CENTRAL QUESTION

Is YETI a durable premium brand re-accelerating via international + new categories — or a saturated, fad-cyclical US drinkware brand whose +2% trough caps the multiple?

YETI trades at ~\$3.6B (≈\$48/sh) — ~17x FCF on \$1.87B revenue, net cash, a \$500M buyback. Growth troughed at +2% in FY2025 (US drinkware saturation + Stanley/Owala/dupes) and re-accelerated to +8% in Q1'26 on wholesale + international; tariffs compressed margins (~16.5%→14.4% adj op) but China is now <5% of COGS. The mature DCF asks whether international (20%→25% target) + new categories (bags via Mystery Ranch, cookware) + margin recovery offset the saturating core. The finding: roughly fair — the modal growth/margin-recovery path lands near spot.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$49.67 expected fair value today
+3.5% vs spot \$48.00

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
\$78.19	\$123.20	\$194.26	\$306.57
1.63× spot	2.57× spot	4.05× spot	6.39× spot

WEIGHTING RATIONALE

Ultra Bear 15% Fad fades; dupes win; ~\$23 (-52%).

Bear 30% US saturated; tariff drag; ~\$38 (-20%).

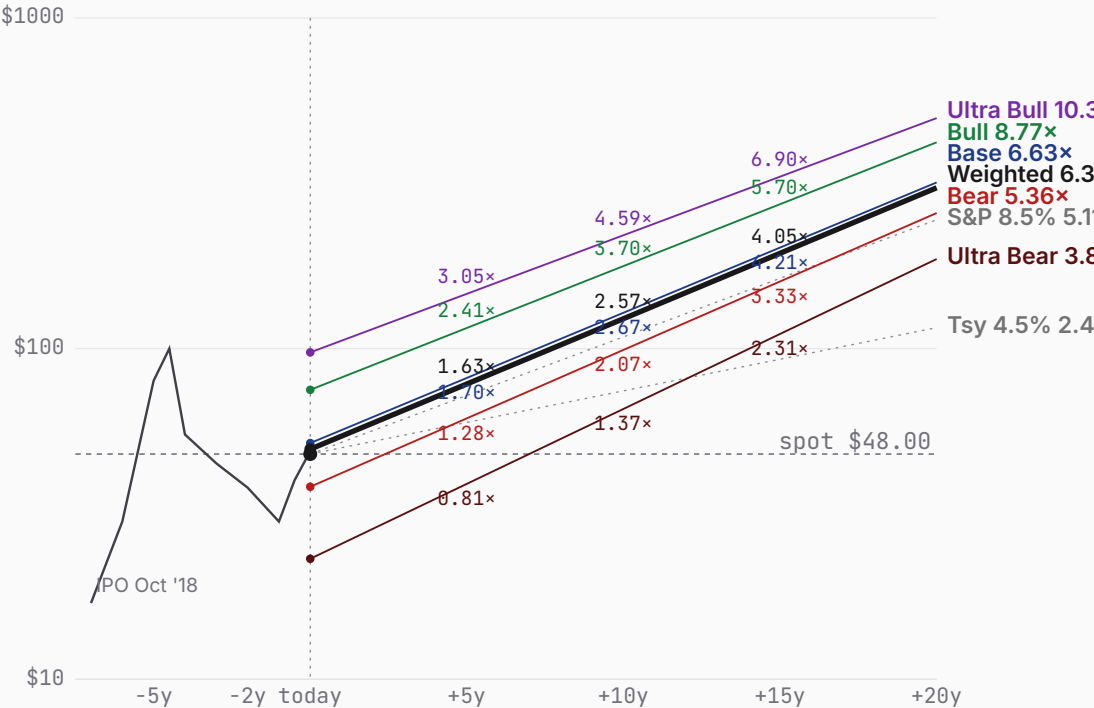
Base 33% Intl + categories offset US; ~\$52 (+8%).

Bull 17% Intl ramps; bags/cookware; ~\$75 (+56%).

Ultra Bull 5% Durable multi-category global brand; ~\$97 (+103%).

Bull (17%) + Ultra Bull (5%) together contribute \$17.63 — 36% of the \$49.67 expected value despite 22% combined probability. Today's spot (\$48.00) sits 3% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED



ULTRA BEAR	\$23.15	BEAR	\$38.22	BASE	\$51.81	BULL	\$75.07	ULTRA BULL	\$97.43
	-51.8% vs spot		-20.4% vs spot		+7.9% vs spot		+56.4% vs spot		+103.0% vs spot
CAGR -1.0% WACC 11.0% CAGR -1.0% Prob 15%		CAGR +2.2% WACC 10.0% CAGR +2.2% Prob 30%		CAGR +4.6% WACC 9.5% CAGR +4.6% Prob 33%		CAGR +7.0% WACC 9.0% CAGR +7.0% Prob 17%		CAGR +9.4% WACC 8.5% CAGR +9.4% Prob 5%	
Fad fades; dupes win; US drinkware shrinks.		US saturated; modest; tariff drag lingers.		International + categories offset US; margin recovers.		International ramps; bags/cookware traction.		Durable multi-category global brand.	

PROBABILITY WEIGHTS

Ultra Bear 15% Bear 30% Base 33% Bull 17% Ultra Bull 5% · Weighted expected \$49.67 (+3.5% vs spot)

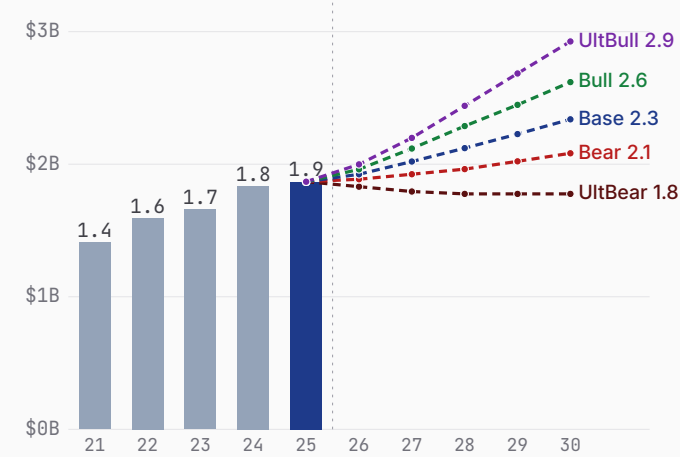
ULTRA BEAR	\$23.15	BEAR	\$38.22	BASE	\$51.81	BULL	\$75.07	ULTRA BULL	\$97.43
	-51.8% vs spot		-20.4% vs spot		+7.9% vs spot		+56.4% vs spot		+103.0% vs spot
Probability 15%		Probability 30%		Probability 33%		Probability 17%		Probability 5%	
Fad fades; dupes win; US drinkware shrinks.		US saturated; modest; tariff drag lingers.		International + categories offset US; margin recovers.		International ramps; bags/cookware traction.		Durable multi-category global brand.	
WHY 15%		WHY 30%		WHY 33%		WHY 17%		WHY 5%	
The fad-cyclical bear: drinkware is ~58% of sales and brand heat rotates fast. 15% weight on the trend turning against YETI.		US drinkware stays saturated and the trend doesn't reverse. 30% weight — the plausible 'stalls' path given the +2% trough.		Requires international + new categories + margin recovery, consistent with Q1'26's +8% and China <5% of COGS. 33% as the central, near-spot outcome.		International + new categories deliver and margins recover. ~17%; the diversification strategy is credible but unproven at scale.		Full category + geographic diversification works and the brand de-fads. ~5%, the asymmetric upside.	
WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS	
The viral tumbler trend rotates away (Stanley→Owala->next), RTIC/private-label dupes arbitrage the premium, and the international/category bets don't offset a shrinking US core. Revenue declines; margins stay tariff-pressured.		The US core stays saturated and tariffs keep margins below peak; international + categories grow but only enough to keep the total roughly flat-to-low.		The modal path: international (toward 25% of revenue) + bags/cookware offset a stabilizing US core, and margins recover as tariffs annualize and China-sourcing exits. Revenue compounds ~5%.		International scales past 25%, Mystery Ranch bags + cookware become real categories, and margins recover toward mid-teens — the brand proves durable beyond fad-cyclical drinkware.		YETI becomes a durable multi-category premium-outdoor brand (drinkware + coolers + bags + cookware) with international as a second engine, compounding ~10% at recovered margins.	
DCF ~\$23 (-52%) — a fad-exposed brand losing its core earns a distressed multiple.		DCF ~\$38 (-20%) — a dominant-but-stalled brand at ~11x FCF, below today's price.		DCF ~\$52 (+8%) — roughly fair; the growth/margin-recovery the Q1'26 +8% hints at, priced about right.		DCF ~\$75 (+56%) — category + geographic diversification re-rates the brand.		DCF ~\$97 (+103%) — the brand transcends the drinkware fad; ~5% probability.	

YETI Holdings business snapshot

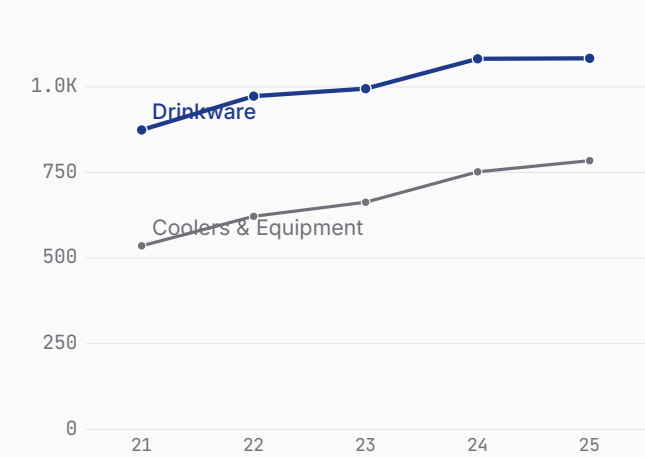
Bear \$38.22 Base \$51.81 Bull \$75.07

FY21-FY25 history + FY26-FY30 scenario projections · 52/53-week fiscal year · FY2025 (Jan'26) + Q1'26 results

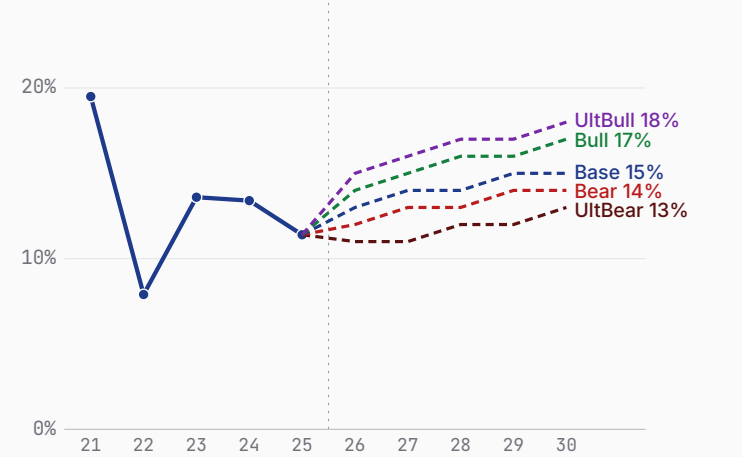
Revenue (\$B) — history + scenarios to FY30



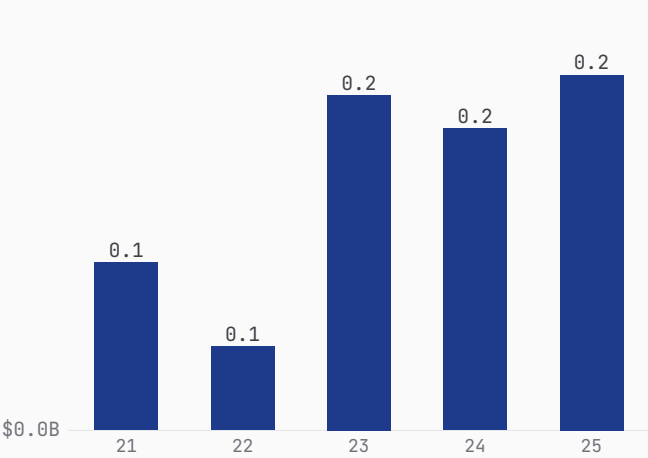
Revenue by segment (\$M)



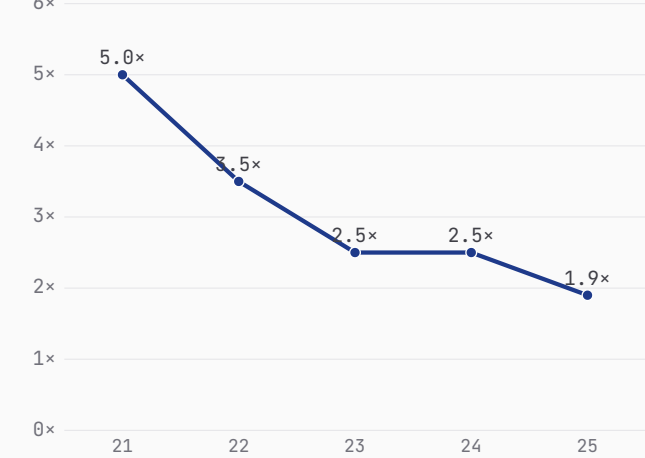
Op margin — history + scenarios



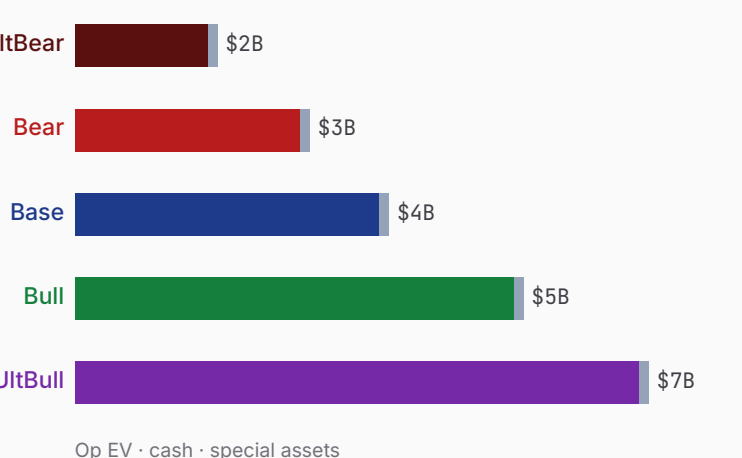
Free cash flow (\$B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Sources: YETI FY2025 results (year ended Jan 3, 2026; revenue \$1.87B, FCF \$212M, net cash ~\$114M), Q1'26 (+8.3%). Revenue as a growth-rate path off FY25; FCF = revenue x FCF margin; Gordon terminal. EV/FCF vs Helen of Troy (Hydro Flask) + Newell.

YETI Holdings 7 Powers · the moat, scored

Bear \$38.22 Base \$51.81 Bull \$75.07

Arena. Premium outdoor drinkware + gear — YETI (brand, ~60% DTC, drinkware + coolers + new bags/cookware) vs Stanley, Owala, Hydro Flask (Helen of Troy), RTIC, Newell; defending a premium brand Power in a fad-cyclical core.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies 	Sourcing/marketing leverage at ~\$1.9B revenue; modest vs housewares conglomerates.
Network Economies 	Community/ambassador affinity, not a hard network.
Counter-Positioning 	Premium incumbent; dupes counter-position on price.
Switching Costs 	Weak — drinkware is a discretionary, swappable purchase.
Branding · thesis leans here 	The dominant Power: premium pricing + outdoor credibility — durable in coolers/gear, contestable in viral tumblers.
Cornered Resource 	Brand IP + design + durability reputation; real but copyable.
Process Power 	Design/sourcing learning curve; modest.

PEER SET

Stanley (PMI/HAVI) US unit leader; viral surge cooling (~50% search decline 2025).	· private
Owala Fastest-growing brand (+~60% search); took the viral baton from Stanley.	· private
Hydro Flask (Helen of Troy) Cleanest public peer; Home/Outdoor segment declining (~-7%).	-5% gr · 10% mgn · ~9x P/E
RTIC / private label Explicit price-dupe of YETI; arbitrages the premium.	· private

THREAT VECTORS · FALSIFIERS

Branding · Owala / Stanley / dupes falsifier: US drinkware revenue declines while viral share rotates to challengers.
Scale Economies · Tariffs / sourcing falsifier: Margins stay compressed below 14% adj op for 2+ years.
Counter-Positioning · Private label / RTIC falsifier: Sustained price competition forces YETI off its full-price model.

COMPETITIVE READ

YETI's brand Power is durable in coolers/outdoor gear but genuinely contestable in its fad-cyclical drinkware core (~58% of sales), where viral heat rotates (Stanley→Owala) and dupes arbitrage the premium. International (toward 25%) + new categories (bags/cookware) + margin recovery (China <5% of COGS) are the diversification offsets. At ~17x FCF the modal growth/margin-recovery path lands near spot — roughly fair, with the sign hinging on whether the +2% FY25 was a trough (Q1'26 +8%) or a new normal.

YETI Holdings show your work

Bear \$38.22 Base \$51.81 Bull \$75.07 · Weighted \$49.67 (+3.5%)

ULTRA BEAR					\$23.15	BEAR					\$38.22	BASE					\$51.81	BULL					\$75.07	ULTRA BULL					\$97.43						
ASSUMPTIONS						ASSUMPTIONS						ASSUMPTIONS						ASSUMPTIONS						ASSUMPTIONS											
5y revenue CAGR (%)					-1.0	5y revenue CAGR (%)					+2.2	5y revenue CAGR (%)					+4.6	5y revenue CAGR (%)					+7.0	5y revenue CAGR (%)					+9.4						
Year-5 op margin (%)					13.0	Year-5 op margin (%)					14.0	Year-5 op margin (%)					15.0	Year-5 op margin (%)					17.0	Year-5 op margin (%)					18.0						
WACC (%)					11.0	WACC (%)					10.0	WACC (%)					9.5	WACC (%)					9.0	WACC (%)					8.5						
Terminal growth (%)					0.0	Terminal growth (%)					1.5	Terminal growth (%)					2.0	Terminal growth (%)					2.5	Terminal growth (%)					2.5						
5y revenue CAGR (%)					-1.0	5y revenue CAGR (%)					+2.2	5y revenue CAGR (%)					+4.6	5y revenue CAGR (%)					+7.0	5y revenue CAGR (%)					+9.4						
Starting revenue (\$B)					1.87	Starting revenue (\$B)					1.87	Starting revenue (\$B)					1.87	Starting revenue (\$B)					1.87	Starting revenue (\$B)					1.87						
Scenario probability (%)					15	Scenario probability (%)					30	Scenario probability (%)					33	Scenario probability (%)					17	Scenario probability (%)					5						
5-YEAR DCF · \$B						5-YEAR DCF · \$B						5-YEAR DCF · \$B						5-YEAR DCF · \$B						5-YEAR DCF · \$B											
FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF	
FY26	1.83	+11%	+0.17	+0.15		FY26	1.89	+12%	+0.19	+0.17		FY26	1.92	+13%	+0.21	+0.19		FY26	1.96	+14%	+0.23	+0.22		FY26	2.00	+15%	+0.26	+0.24		FY26	2.00	+15%	+0.26	+0.24	
FY27	1.79	+11%	+0.16	+0.13		FY27	1.92	+13%	+0.21	+0.17		FY27	2.02	+14%	+0.24	+0.20		FY27	2.12	+15%	+0.28	+0.23		FY27	2.20	+16%	+0.31	+0.26		FY27	2.20	+16%	+0.31	+0.26	
FY28	1.78	+12%	+0.16	+0.12		FY28	1.96	+13%	+0.22	+0.16		FY28	2.12	+14%	+0.26	+0.19		FY28	2.29	+16%	+0.32	+0.25		FY28	2.44	+17%	+0.37	+0.29		FY28	2.44	+17%	+0.37	+0.29	
FY29	1.78	+12%	+0.18	+0.12		FY29	2.02	+14%	+0.24	+0.17		FY29	2.23	+15%	+0.29	+0.20		FY29	2.45	+16%	+0.34	+0.24		FY29	2.68	+17%	+0.40	+0.29		FY29	2.68	+17%	+0.40	+0.29	
FY30	1.78	+13%	+0.18	+0.11		FY30	2.08	+14%	+0.25	+0.15		FY30	2.34	+15%	+0.30	+0.19		FY30	2.62	+17%	+0.39	+0.26		FY30	2.93	+18%	+0.47	+0.31		FY30	2.93	+18%	+0.47	+0.31	
Σ PV explicit FCF					+0.62	Σ PV explicit FCF					+0.83	Σ PV explicit FCF					+0.99	Σ PV explicit FCF					+1.19	Σ PV explicit FCF					+1.39						
+ PV terminal (g 0.0%)					0.96	+ PV terminal (g 1.5%)					1.85	+ PV terminal (g 2.0%)					2.63	+ PV terminal (g 2.5%)					4.03	+ PV terminal (g 2.5%)					5.32						
EQUITY BUILD · \$B & PER SHARE						EQUITY BUILD · \$B & PER SHARE						EQUITY BUILD · \$B & PER SHARE						EQUITY BUILD · \$B & PER SHARE						EQUITY BUILD · \$B & PER SHARE											
Operating EV					\$1.58B	Operating EV					\$2.68B	Operating EV					\$3.62B	Operating EV					\$5.22B	Operating EV					\$6.71B						
+ Cash & investments					\$0.11B	+ Cash & investments					\$0.11B	+ Cash & investments					\$0.11B	+ Cash & investments					\$0.11B	+ Cash & investments					\$0.11B						
= Equity value					\$1.69B	= Equity value					\$2.79B	= Equity value					\$3.73B	= Equity value					\$5.33B	= Equity value					\$6.82B						
FY30 shares (M)					73	FY30 shares (M)					73	FY30 shares (M)					72	FY30 shares (M)					71	FY30 shares (M)					70						
= Expected per share					\$23.15	= Expected per share					\$38.22	= Expected per share					\$51.81	= Expected per share					\$75.07	= Expected per share					\$97.43						
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT						FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT						FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT						FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT						FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT											
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		
\$39.01	\$65.73	\$110.76	\$186.64		\$61.55	\$99.13	\$159.65	\$257.13		\$81.56	\$128.40	\$202.13	\$318.20		\$115.50	\$177.72	\$273.44	\$420.72		\$146.50	\$220.29	\$331.24	\$498.07		\$146.50	\$220.29	\$331.24	\$498.07		\$146.50	\$220.29	\$331.24	\$498.07		
0.81x	1.37x	2.31x	3.89x		1.28x	2.07x	3.33x	5.36x		1.70x	2.67x	4.21x	6.63x		2.41x	3.70x	5.70x	8.77x		3.05x	4.59x	6.90x	10.38x		3.05x	4.59x	6.90x	10.38x		3.05x	4.59x	6.90x	10.38x		



YETI Holdings supporting analysis · disclaimers · glossary

Bear \$38.22 Base \$51.81 Bull \$75.07

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1 **Net cash, ~\$212M FCF, \$500M buyback.**
Debt-light, cash-generative, shrinking the float at ~17x FCF — capital return is real.

4 **New categories extend the brand.**
Mystery Ranch bags (\$9B+ premium-bag TAM) + Butter Pat cookware diversify beyond fad-cyclical drinkware.
- 2 **China sourcing de-risked.**
China now <5% of COGS (Vietnam/Philippines/Mexico) — the tariff drag (~\$0.35/sh) is largely an annualization headwind, not structural.

5 **Q1'26 re-accelerated to +8%.**
Wholesale +19% (best in 3 years) + international suggest the +2% FY25 was a trough, not a new normal.
- 3 **International is the engine.**
~20% of revenue growing mid-teens, Japan greenfield (2025), 25%-by-2027 target — a runway the US-saturation view misses.

FALSIFICATION TRIGGERS

Bull validation

international passes 25% of revenue · bags/cookware become reported needle-movers · adj op margin recovers above 16% · wholesale rebound sustains

Bear validation

US drinkware stays soft · Owala/Stanley/dupes keep taking share · margins stay tariff-compressed · new categories stall

Reframe needed

if drinkware brand heat structurally rotates away (the fad ends), re-rate the core toward a commodity-housewares multiple

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Drinkware — YETI's tumbler/bottle core (~58% of sales, higher margin) — the fad-cyclical, most-contested category.

Mystery Ranch / Butter Pat — 2024 acquisitions: technical bags (premium-bag TAM \$9B+) + cast-iron cookware — the new-category diversification bets.

Dupes — Lower-priced look-alikes (RTIC, private label) + viral challengers (Stanley, Owala) eroding the drinkware premium.

Branding — Helmer Power: premium pricing + community/ambassadors + durability reputation — durable in outdoor, contestable in faddish tumblers.

FCF margin — Free cash flow / revenue (~11% FY25, tariff-compressed); the mature-DCF lever as margins recover.